LANGSTON'S

NVIDIA Corporation

NVDA NASDAQ

Buy **$208.48** ▼ 2.91%

12M Price Target **$260.00**

52-Week Range $164.07 – $236.54

Market Cap $5.05T

NVDA: Jitters Into Earnings, But Setup Still Bullish

WHAT HAPPENED

- Stock is down ~5% over five days and dropped 2.9% yesterday on heavy volume (135M shares — well above average). This is classic pre-earnings de-risking — NVDA reports Wednesday after the bell, and traders are trimming positions rather than hold through a binary event. Nothing fundamentally broke.
- Options flow is telling a different story though — put/call ratio of 0.46 (meaning 2x more bullish call bets than bearish puts) and unusual call buying at $207.50 and $212.50 strikes. Somebody with real money is betting on a bounce post-earnings.

WHY IT MATTERS

Here's the setup: the stock is weak going into earnings but smart money is positioning bullishly through options — that divergence usually resolves in favor of the options crowd because they're making conviction bets, not just managing risk. The real question Wednesday isn't the revenue number (that'll be huge) — it's Jensen Huang's guidance on China. The Trump administration's revenue-sharing deal on H20 chip sales to China (announced earlier this year, where NVDA gives the US government 15% of China chip revenue) is either going to be validated as a workable arrangement or blow up. If Jensen sounds confident, this thing rips back to $230+ fast. If he hedges on China, we chop around $200 for a while.

POLICY & POLITICAL WATCH

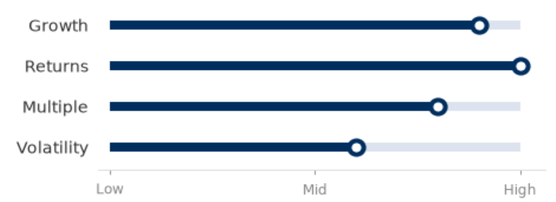
The big one: the H20 China chip revenue-sharing arrangement with the Trump administration is still being tested — NVDA is essentially paying a 15% "tax" to Washington to keep selling to China, which is unprecedented and legally shaky (some in Congress are calling it unconstitutional). Watch for any court challenge or Congressional pushback that could unwind it. Separately, the CHIPS Act 2.0 discussions in Congress could bring more domestic manufacturing subsidies — good for NVDA's TSMC-alternative supply chain, but potentially forces them to build more in Arizona at higher cost. Also keep an eye on the EU AI Act enforcement kicking in — compliance costs are real but favor scale players like NVDA over smaller rivals.

IS IT EXPENSIVE?

At $208, NVDA trades at roughly 43x forward earnings — meaning you're paying $43 for every $1 of profit expected next year. That sounds expensive until you realize earnings are still growing 40%+ annually, so the "PEG ratio" (price-to-earnings divided by growth rate) is about 1.0 — that's actually reasonable for a mega-cap. Compare to peers: AMD trades at 35x with much slower growth, so NVDA's premium is earned. Not cheap, but not stupid either.

Key Data	
Price (USD)	$208.48
12M Price Target	$260.00
Upside / (Downside)	+24.7%
Market Cap	$5.05T
FY2027E Revenue	$215M
FY2028E Revenue	$275M
FY2027E EPS	$4.85
FY2028E EPS	$6.40
Fwd P/E	43.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

AI-Generated Pre-Market Brief | 2026-08-25 13:26 UTC

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$235.00**	$220.00	**$195.00**
6 Months	**$260.00**	$235.00	**$180.00**
1 Year	**$300.00**	$260.00	**$170.00**
2 Years	**$380.00**	$310.00	**$160.00**
5 Years	**$550.00**	$420.00	**$180.00**
10 Years	**$900.00**	$600.00	**$200.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Staples (+1.7%) and Financials (+1.29%) leading today — that's defensive rotation, meaning money is getting cautious ahead of NVDA earnings because a bad print takes down the whole market. Utilities also up on the AI-power-demand thesis (data centers need electricity).

COOLING OFF: Tech is quietly soft — semis specifically are getting de-risked. This is normal pre-NVDA jitters, not a real sector breakdown.

ROTATION WATCH: Money is temporarily parking in defensives waiting for the NVDA print. If NVDA delivers, expect a violent rotation BACK into tech Thursday morning. This is a "coiled spring" setup.

RELATED PLAY: The AMD/Intel bounce on the Pelosi disclosure is interesting — when politicians buy semis, retail follows. If you want NVDA exposure without single-name risk, the SMH semiconductor ETF gets you the whole basket. Data center REITs (DLR, EQIX) are the second-order play on the same AI thesis.

WHO'S WINNING IN THIS SPACE?

- AMD (Advanced Micro Devices): Up 3% on strong buy upgrade + Pelosi buying disclosure — the political tailwind is real
- INTC (Intel): Also up 3% — CHIPS Act subsidies and domestic manufacturing narrative getting fresh attention

NVDA CONTEXT: NVDA is lagging its peer group this week, which is actually normal pre-earnings behavior — the biggest name gets de-risked hardest. Historically NVDA lags into the print then leads out of it if the print is good. The fact that AMD/INTC are rallying tells me the AI trade is alive; NVDA weakness is idiosyncratic, not sector-wide.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

Position Size: 5-8% of portfolio

Entry Points: $200-210 pre-earnings, $185 if post-earnings selloff

Time Horizon: 12-24 months

Thesis Invalidation: Data center revenue growth drops below 30% YoY or full China export ban with no workaround

Hedging: Buy Sept puts at $190 strike as earnings insurance — costs ~1% of position